

31/10/2023

CGWM risk profile 7

CGWM

Start date: 30/11/2020

Key facts

Annual management charge 0.50%

Benchmark

Benchmark: ARC Sterling Equity Risk PCI

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Figures represent the performance of a model portfolio, investors should note that individual account performance may differ.

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This document is intended to aid a wider discussion between clients and their investment and/or financial adviser about this investment portfolio.

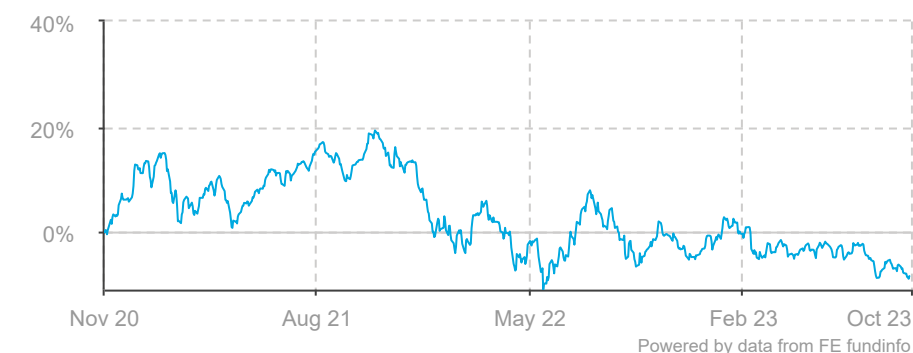
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ESG Risk Profile 7

Investment objective

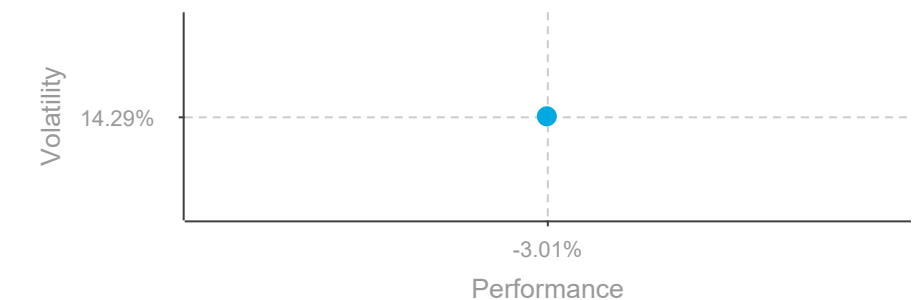
Our objective for this strategy is to generate a total return in line with the equity benchmark over a minimum rolling period of 10 years. The ESG portfolio will use investments that consider environmental, social, and governance criteria alongside traditional financial metrics. A proportion of the overall return will come from the income generated. The strategy is designed to generate risk adjusted returns over the suggested time horizon. The strategy has a very high proportion of equity risk in pursuit of returns, and uses global equity investments as well as fixed income assets and other diversifying financial instruments. An active screening approach is used to select potential portfolio allocations. The portfolio will have exposure to funds that focus on ESG factors (including resource efficiency, employee engagement and business culture), as well as focused thematic investments, such as environmental technology, and those that have measureable impact, such as housing. There are certain areas of the market that the ESG portfolio will have limited or no exposure to therefore, the performance and the volatility profile could differ from a traditional discretionary portfolio with the same asset allocation. Investors in the Risk Profile 7 strategy are prepared to accept full exposure to equity risk and the associated potential for very significant losses of capital at times of market stress.

Performance since inception



■ ESG Risk Profile 7

Model risk



■ ESG Risk Profile 7

Discrete performance (%)

	2022	2021	2020	2019
ESG Risk Profile 7	-15.61	7.08	-	-

Cumulative performance (%)

	3 months	1 year	3 years	Since inception
ESG Risk Profile 7	-5.69	-3.42	-	-8.28

Source: FE fundinfo

Source: Canaccord Genuity Wealth Management (CGWM) Interactive Data as at 31/08/2023.
Total return net of fees and charges.



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Asset allocation (%)



Commodity & Energy	22
North American Equities	20
Other	19
European Equities	12
US Equities	9
Alternative Assets	7
American Equity	6
Europe ex UK Equities	5

Portfolio Manager commentary

DUMMY TEXT It was pleasing to see positive returns for our ESG portfolios in what were very volatile market conditions. This was a quarter where markets were spooked by two major worries: whether higher levels of inflation would be persistent rather than transitory and whether the COVID-19 Omicron variant would be concerning enough to cause widespread economic and social harm. Generally it was a quarter where outperformance was limited to areas like oil, banks and megacap technology stocks.

Our strategy prefers to target longer term growth stories and sees more value in smaller disruptive companies. Pleasingly, some of our favoured structural themes such as smart materials, robotics, timber and clean water were very resilient in this trickier investment backdrop. Worries surrounding worker shortages in areas like healthcare and manufacturing were part of the inflation narrative. Robotics and automation can potentially help alleviate some of this burden and we saw examples of companies announce more investment in this area.

On a different note, we also saw some major announcements from both governments and companies at COP 26 around electric vehicles. This theme is less a play on which car company will be the winner but more a structural innovation story on batteries becoming cheaper and more powerful. We made no changes to the portfolios this quarter but have been considering further investment into infrastructure, an area we like both from an inflation protection perspective as well as offering useful diversification benefits.

DUMMY TEXT